Technical Analysis Ebook

Price action fundamentals, a confluence framework and the risk rules that keep you trading.

Format	PDF guide · read in one sitting
Best for	Traders and busy professionals trading around a job
You get	A repeatable routine you can run in under 20 minutes a day

Contents

1. Price action first, indicators second

Indicators are derivatives of price. If price action and an indicator disagree, price wins. This guide teaches you to read price first and then use a small number of indicators to time the same story.

- Trend: a sequence of higher highs and higher lows, or the opposite.
- Range: repeated failure at the same two boundaries.
- Transition: a break of the last swing against the trend.

2. Candles that carry information

Ignore exotic candle names. Only three shapes change decisions.

Engulfing	Body covers the previous body. Momentum shift at a level.
Pin / rejection	Long wick into a level, close back out. Failed auction.
Inside bar	Compression. A break of it often starts the next leg.

A candle in the middle of nowhere is noise. The same candle at an A-grade level is a signal.

3. Market structure and the break that matters

Structure is the map's grammar. A trend continues until the last protected swing is broken and closed beyond.

- Mark the last swing that produced the current impulse — that is the protected low or high.
- A wick through it is noise; a body close through it is a change of character.
- After a change of character, wait for the first retest before trading the new direction.

4. The confluence framework

Confluence is not stacking ten indicators. It is three independent reasons that agree.

Location	Price is at an A or B zone with room to run.
Momentum	RSI divergence or a moving-average slope that agrees with the direction.
Timing	A session or event that normally produces the move (London open, US data).

Two out of three is a watch. Three out of three is a trade. One is a lottery ticket.

5. A minimal indicator set

Use these, and nothing else

- EMA 50 and EMA 200 — trend context and dynamic reaction points.
- RSI 14 — divergence only, not overbought/oversold in a trend.
- ATR 14 — stop distance and realistic target sizing.
- Session boxes — Asia range, London and New York opens.

Every extra indicator adds correlation, not information. Fewer inputs, faster decisions.

6. Multi-timeframe execution

Bias frame	Daily / H4 — direction and zones
Setup frame	H1 — the setup forms here
Trigger frame	M15 / M5 — entry candle and stop placement

Never take a trigger-frame signal that fights the bias frame. Counter-trend entries are the single largest source of avoidable losses.

7. Risk management rules

- Fixed fractional risk per trade: 0.5% learning, 1% maximum.
- Stop distance from ATR and structure, never from the amount you want to risk.
- Minimum 1:1.5 risk-to-reward; scale out at 1R, run the rest to structure.
- Two losses in a day, or –2%, ends the day. No exceptions, no revenge size.
- No new positions 15 minutes either side of high-impact news.

Risk rules are the only part of trading you fully control. They are also the only part that guarantees you are still here next year.

8. Your first 30 days

Week 1	Chart study only. Map 5 pairs daily, no orders.
Week 2	Demo. 1 setup type, journal every trade.
Week 3	Demo. Add the second setup, review expectancy.
Week 4	Smallest live size. Judge plan adherence, not profit.

If plan adherence is above 80% after 30 days, increase size in steps of 25%. If it is below, repeat the month.

Risk disclaimer: trading foreign exchange, metals and crypto carries substantial risk. This guide is education, not financial advice. Never risk money you cannot afford to lose.